to be free for transactions from ₹1 to ₹1 lakh. The interface regulated by the RBI was built over the secure and tested IMPS (Immediate Payment Service) platform.

Combined with the millions of Jan Dhan Yojana bank accounts[21] opened in the last few years and high mobile penetration, UPI paved the way for Indians to embrace digital payments, as anyone in India who had a bank account and a mobile phone could now transfer funds to anyone else with a mobile and bank account, instantaneously, free of cost and at any time of day or night.

This was a perfect platform to popularize cashless, electronic transactions. It was enabled for all scheduled banks across India to use. Yet on the date of demonetization, only 27 banks had enabled UPI. Missing from the list were some of India's largest public sector and private banks. UPI should have been popularized and advertised (like other high-profile initiatives such as Swachh Bharat) with basic training and incentives provided to Jan Dhan Yojana account holders during the 10 months leading up to demonetization.

Popularizing the robust and safe UPI electronics payment system prior to withdrawing the ₹1,000 and ₹500 currency notes would definitely have eased some of the hardships caused by demonetization. At the very least, it would have added credence to the government's claim that a major objective of the move was to help make India cashless.

Of course, the note ban was not necessary to achieve this objective. Given the fact that digital payments are more convenient for both the payer and receiver, and cheaper and more efficient for all the financial intermediaries involved, there was no doubt that Indians would gradually and seamlessly make the switch. Not because cash was bad, but because the digital alternative was more convenient.

However, as cash from the system was sucked out post-demonetization, e-wallets such as Paytm took centre stage and moving to a less cash digital India suddenly became a justification for the move.